



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session
Majority Research Staff

[HB 2177](#): AHCCCS; waivers; American Indians; services

WILLOUGHBY FLOOR AMENDMENT

1. Makes a technical change.

ADDITIONAL COW
WILLOUGHBY FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2177
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 36, chapter 29, article 1, Arizona Revised
3 Statutes, is amended by adding section 36-2903.18, to read:

4 36-2903.18. Waivers; annual submittal; American Indians and
5 Alaska natives; covered services

6 A. ON OR BEFORE MARCH 30 OF EACH YEAR, THE DIRECTOR SHALL APPLY TO
7 THE CENTERS FOR MEDICARE AND MEDICAID SERVICES FOR WAIVERS OR AMENDMENTS
8 TO THE CURRENT SECTION 1115 WAIVER TO AUTHORIZE THIS STATE TO MAKE
9 PAYMENTS FOR COVERED SERVICES THAT ARE PROVIDED TO AMERICAN INDIAN OR
10 ~~[ALASKAN]~~ [ALASKA] NATIVE MEMBERS BY PARTICIPATING INDIAN HEALTH SERVICES
11 FACILITIES OR PARTICIPATING FACILITIES OPERATED BY TRIBES OR TRIBAL
12 ORGANIZATIONS UNDER THE INDIAN SELF-DETERMINATION AND EDUCATION ASSISTANCE
13 ACT (P.L. 93-638; 88 STAT. 2203; 25 UNITED STATES CODE CHAPTER 46) AND
14 THAT WERE ELIMINATED FROM, REDUCED OR LIMITED IN THE STATE PLAN ON OR
15 AFTER SEPTEMBER 2010, INCLUDING PAYMENTS FOR MEDICALLY NECESSARY
16 DIAGNOSTIC, THERAPEUTIC AND PREVENTATIVE DENTAL SERVICES.

17 B. IN ANY YEAR, THE DIRECTOR SHALL APPLY PURSUANT TO SUBSECTION A
18 OF THIS SECTION FOR ONLY THE WAIVERS OR AMENDMENTS TO THE CURRENT SECTION
19 1115 WAIVER THAT HAVE NOT BEEN APPROVED AND ARE NOT IN EFFECT.

20 Sec. 2. Section 36-2907, Arizona Revised Statutes, is amended to
21 read:

22 36-2907. Covered health and medical services; modifications;
23 related delivery of service requirements; rules;
24 definitions

25 A. Subject to the limits and exclusions specified in this section,
26 contractors shall provide the following medically necessary health and
27 medical services:

28 1. Inpatient hospital services that are ordinarily furnished by a
29 hospital to care for and treat inpatients and that are provided under the
30 direction of a physician or a primary care practitioner. For the purposes
31 of this section, inpatient hospital services exclude services in an

1 institution for tuberculosis or mental diseases unless authorized under an
2 approved section 1115 waiver.

3 2. Outpatient health services that are ordinarily provided in
4 hospitals, clinics, offices and other health care facilities by licensed
5 health care providers. Outpatient health services include services
6 provided by or under the direction of a physician or a primary care
7 practitioner, including occupational therapy.

8 3. Other laboratory and X-ray services ordered by a physician or a
9 primary care practitioner.

10 4. Medications that are ordered on prescription by a physician or a
11 dentist who is licensed pursuant to title 32, chapter 11. Persons who are
12 dually eligible for title XVIII and title XIX services must obtain
13 available medications through a medicare licensed or certified medicare
14 advantage prescription drug plan, a medicare prescription drug plan or any
15 other entity authorized by medicare to provide a medicare part D
16 prescription drug benefit.

17 5. Medical supplies, durable medical equipment, insulin pumps and
18 prosthetic devices ordered by a physician or a primary care practitioner.
19 Suppliers of durable medical equipment shall provide the administration
20 with complete information about the identity of each person who has an
21 ownership or controlling interest in their business and shall comply with
22 federal bonding requirements in a manner prescribed by the administration.

23 6. For persons who are at least twenty-one years of age, treatment
24 of medical conditions of the eye, excluding eye examinations for
25 prescriptive lenses and the provision of prescriptive lenses.

26 7. Early and periodic health screening and diagnostic services as
27 required by section 1905(r) of title XIX of the social security act for
28 members who are under twenty-one years of age.

29 8. Family planning services that do not include abortion or
30 abortion counseling. If a contractor elects not to provide family
31 planning services, this election does not disqualify the contractor from
32 delivering all other covered health and medical services under this
33 chapter. In that event, the administration may contract directly with
34 another contractor, including an outpatient surgical center or a
35 noncontracting provider, to deliver family planning services to a member
36 who is enrolled with the contractor that elects not to provide family
37 planning services.

38 9. Podiatry services that are performed by a podiatrist who is
39 licensed pursuant to title 32, chapter 7 and ordered by a primary care
40 physician or primary care practitioner.

41 10. Nonexperimental transplants approved for title XIX
42 reimbursement.

43 11. Dental services as follows:

44 (a) Except as provided in subdivision (b) of this paragraph, for
45 persons who are at least twenty-one years of age, emergency dental care
46 and extractions in an annual amount of not more than \$1,000 per member.

1 (b) Subject to approval by the centers for medicare and medicaid
2 services, for persons treated at an Indian health service or tribal
3 facility, adult dental services that are eligible for a federal medical
4 assistance percentage of one hundred percent and that exceed the limit
5 prescribed in subdivision (a) of this paragraph.

6 12. Ambulance and nonambulance transportation, except as provided
7 in subsection G of this section.

8 13. Hospice care.

9 14. Orthotics, if all of the following apply:

10 (a) The use of the orthotic is medically necessary as the preferred
11 treatment option consistent with medicare guidelines.

12 (b) The orthotic is less expensive than all other treatment options
13 or surgical procedures to treat the same diagnosed condition.

14 (c) The orthotic is ordered by a physician or primary care
15 practitioner.

16 15. Subject to approval by the centers for medicare and medicaid
17 services, medically necessary chiropractic services that are performed by
18 a chiropractor who is licensed pursuant to title 32, chapter 8 and that
19 are ordered by a primary care physician or primary care practitioner
20 pursuant to rules adopted by the administration. The primary care
21 physician or primary care practitioner may initially order up to twenty
22 visits annually that include treatment and may request authorization for
23 additional chiropractic services in that same year if additional
24 chiropractic services are medically necessary.

25 16. For up to ten program hours annually, diabetes outpatient
26 self-management training services, as defined in 42 United States Code
27 section 1395x, if prescribed by a primary care practitioner in either of
28 the following circumstances:

29 (a) The member is initially diagnosed with diabetes.

30 (b) For a member who has previously been diagnosed with diabetes,
31 either:

32 (i) A change occurs in the member's diagnosis, medical condition or
33 treatment regimen.

34 (ii) The member is not meeting appropriate clinical outcomes.

35 17. Pursuant to the terms and conditions that are approved by the
36 centers for medicare and medicaid services and subject to available
37 funding, traditional healing services, if both of the following apply:

38 (a) The member qualifies for services through the Indian health
39 service or a tribal facility pursuant to the conditions of participation
40 outlined in 42 Code of Federal Regulations section 136.12.

41 (b) The traditional healing service is delivered by or through the
42 Indian health service or a tribal facility.

43 B. The limits and exclusions for health and medical services
44 provided under this section are as follows:

45 1. Circumcision of newborn males is not a covered health and
46 medical service.

47 2. For eligible persons who are at least twenty-one years of age:

1 (a) Prosthetic devices do not include hearing aids, dentures or
2 bone-anchored hearing aids. Prosthetic devices, except prosthetic
3 implants, may be limited to \$12,500 per contract year.

4 (b) Percussive vests are not covered health and medical services.

5 (c) Durable medical equipment is limited to items covered by
6 medicare.

7 (d) Nonexperimental transplants do not include pancreas-only
8 transplants.

9 (e) Bariatric surgery procedures, including laparoscopic and open
10 gastric bypass and restrictive procedures, are not covered health and
11 medical services.

12 C. The system shall pay noncontracting providers only for health
13 and medical services as prescribed in subsection A of this section and as
14 prescribed by rule.

15 D. The director shall adopt rules necessary to limit, to the extent
16 possible, the scope, duration and amount of services, including maximum
17 limits for inpatient services that are consistent with federal regulations
18 under title XIX of the social security act (P.L. 89-97; 79 Stat. 344;
19 42 United States Code section 1396 (1980)). To the extent possible and
20 practicable, these rules shall provide for the prior approval of medically
21 necessary services provided pursuant to this chapter.

22 E. The director shall make available home health services in lieu
23 of hospitalization pursuant to contracts awarded under this article. For
24 the purposes of this subsection, "home health services" means the
25 provision of nursing services, home health aide services or medical
26 supplies, equipment and appliances that are provided on a part-time or
27 intermittent basis by a licensed home health agency within a member's
28 residence based on the orders of a physician or a primary care
29 practitioner. Home health agencies shall comply with the federal bonding
30 requirements in a manner prescribed by the administration.

31 F. The director shall adopt rules for the coverage of behavioral
32 health services for persons who are eligible under section 36-2901,
33 paragraph 6, subdivision (a). The administration acting through the
34 regional behavioral health authorities shall establish a diagnostic and
35 evaluation program to which other state agencies shall refer children who
36 are not already enrolled pursuant to this chapter and who may be in need
37 of behavioral health services. In addition to an evaluation, the
38 administration acting through regional behavioral health authorities shall
39 also identify children who may be eligible under section 36-2901,
40 paragraph 6, subdivision (a) or section 36-2931, paragraph 5 and shall
41 refer the children to the appropriate agency responsible for making the
42 final eligibility determination.

43 G. The director shall adopt rules providing for transportation
44 services and rules providing for copayment by members for transportation
45 for other than emergency purposes. Subject to approval by the centers for
46 medicare and medicaid services, nonemergency medical transportation shall
47 not be provided except for stretcher vans and ambulance transportation.

1 Prior authorization is required for transportation by stretcher van and
2 for medically necessary ambulance transportation initiated pursuant to a
3 physician's direction. Prior authorization is not required for medically
4 necessary ambulance transportation services rendered to members or
5 eligible persons initiated by dialing telephone number 911 or other
6 designated emergency response systems.

7 H. The director may adopt rules to allow the administration, at the
8 director's discretion, to use a second opinion procedure under which
9 surgery may not be eligible for coverage pursuant to this chapter without
10 documentation as to need by at least two physicians or primary care
11 practitioners.

12 I. If the director does not receive bids within the amounts
13 budgeted or if at any time the amount remaining in the Arizona health care
14 cost containment system fund is insufficient to pay for full contract
15 services for the remainder of the contract term, the administration, on
16 notification to system contractors at least thirty days in advance, may
17 modify the list of services required under subsection A of this section
18 for persons defined as eligible other than those persons defined pursuant
19 to section 36-2901, paragraph 6, subdivision (a). The director may also
20 suspend services or may limit categories of expense for services defined
21 as optional pursuant to title XIX of the social security act (P.L. 89-97;
22 79 Stat. 344; 42 United States Code section 1396 (1980)) for persons
23 defined pursuant to section 36-2901, paragraph 6, subdivision (a). Such
24 reductions or suspensions do not apply to the continuity of care for
25 persons already receiving these services.

26 J. All health and medical services provided under this article
27 shall be provided in the geographic service area of the member, except:

28 1. Emergency services and specialty services provided pursuant to
29 section 36-2908.

30 2. That the director may allow the delivery of health and medical
31 services in other than the geographic service area in this state or in an
32 adjoining state if the director determines that medical practice patterns
33 justify the delivery of services or a net reduction in transportation
34 costs can reasonably be expected. Notwithstanding the definition of
35 physician as prescribed in section 36-2901, if services are procured from
36 a physician or primary care practitioner in an adjoining state, the
37 physician or primary care practitioner shall be licensed to practice in
38 that state pursuant to licensing statutes in that state that are similar
39 to title 32, chapter 13, 15, 17 or 25 and shall complete a provider
40 agreement for this state.

41 K. Covered outpatient services shall be subcontracted by a primary
42 care physician or primary care practitioner to other licensed health care
43 providers to the extent practicable for purposes including, but not
44 limited to, making health care services available to underserved areas,
45 reducing costs of providing medical care and reducing transportation
46 costs.

1 L. The director shall adopt rules that prescribe the coordination
2 of medical care for persons who are eligible for system services. The
3 rules shall include provisions for transferring patients and medical
4 records and initiating medical care.

5 M. Pursuant to the terms and conditions that are approved by the
6 centers for medicare and medicaid services and subject to available
7 funding, the director shall implement limited benefit coverage prerelease
8 services to eligible incarcerated individuals and committed youth for up
9 to ninety days immediately before ~~the individuals~~ EACH INDIVIDUAL'S or
10 committed youth's expected date of release from a prison, jail, secure
11 care facility or tribal correctional facility.

12 N. ON APPROVAL BY THE CENTERS FOR MEDICARE AND MEDICAID SERVICES,
13 THE ADMINISTRATION MAY MAKE PAYMENTS FOR COVERED SERVICES THAT ARE
14 PROVIDED TO AMERICAN INDIAN OR ~~[ALASKAN]~~ [ALASKA] NATIVE MEMBERS BY
15 PARTICIPATING INDIAN HEALTH SERVICES FACILITIES OR PARTICIPATING
16 FACILITIES OPERATED BY TRIBES OR TRIBAL ORGANIZATIONS UNDER THE INDIAN
17 SELF-DETERMINATION AND EDUCATION ASSISTANCE ACT (P.L. 93-638; 88 STAT.
18 2203; 25 UNITED STATES CODE CHAPTER 46) AND THAT WERE ELIMINATED FROM,
19 REDUCED OR LIMITED IN THE STATE PLAN ON OR AFTER SEPTEMBER 2010, INCLUDING
20 PAYMENTS FOR MEDICALLY NECESSARY DIAGNOSTIC, THERAPEUTIC AND PREVENTATIVE
21 DENTAL SERVICES.

22 ~~N.~~ O. Notwithstanding section 36-2901.08, monies from the hospital
23 assessment fund established by section 36-2901.09 may not be used to
24 provide any of the following:

25 1. Chiropractic services as prescribed in subsection A, paragraph
26 15 of this section.

27 2. Diabetes outpatient self-management training services as
28 prescribed in subsection A, paragraph 16 of this section.

29 3. Speech therapy provided in an outpatient setting to eligible
30 persons who are at least twenty-one years of age.

31 4. Cochlear implants to eligible persons who are at least
32 twenty-one years of age.

33 ~~O.~~ P. For the purposes of this section:

34 1. "Ambulance" has the same meaning prescribed in section 36-2201.

35 2. "Tribal facility" has the same meaning prescribed in section
36 36-2981.

37 Enroll and engross to conform

38 Amend title to conform

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